more than one bank. The data of unique bank account numbers is not available.

According to RBI data on the credit advanced to micro and small sectors (as these are covered under priority sector lending), for the year ending March 2020, total credit outstanding against MSEs from scheduled commercial banks (which covers about 90 per cent of total credit advanced by the banking system) was Rs 11.63 lakh crore. RBI separately provides details of credit outstanding towards medium enterprises (but not medium service enterprises)—the amount was Rs 1.06 lakh crore.

RBI or any other official institution in the country does not provide data about total credit advanced to MSMEs by banks, non-banks and other financial institutions. TransUnion CIBIL is the only agency that provides information on credit advanced to MSMEs from banks and non-banks. However, its definition of MSME is based on the amount of loan advanced, not the legal definition of MSME, which is based on investment in plant and machinery.

Government Grants Support is Meagre

By their very nature, grants can only be provided by the government and charities. The MSME Ministry has an annual budget of about Rs 7500 crore. While no case can be made for the government to provide support to every MSME, for 7.5 crore MSMEs in the country, the total budget provision works out to Rs 1000 per enterprise. This is spread over forty schemes and the average allocation per scheme is less than Rs 200 crore.

The government provides credit-linked capital grant support for the establishment of MSMEs under two different schemes, which happen to be the largest schemes of the ministry as well.

The largest scheme is called the Prime Minister Employment Generation Programme. Under this, establishment of micro-enterprises is encouraged by provision of 25 per cent of project cost as capita subsidy in